

Danfoss hf.

Financial Statements 2025

Höfðabakki 9b
110 Reykjavík

ID no: 471194-3019

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Endorsement by The Board of Directors and Managing Director

These financial statements are prepared in accordance with the Icelandic law on annual accounts. The financial statements are in all material respects consistent with the financial statements of the preceding year.

The Company is a subsidiary of Danfoss International AS in Denmark which operates within research, development and production, sales and service of mechanical and electronic components for several industries. The total number of full time equivalent employees was 9 in 2025.

According to the income statement, net profit for the year 2025 amounted to ISK 88,8 million. The stockholders equity at year end amounted to ISK 202,5 million. Changes in stockholders equity are further explained in the notes to the financial statement.

The Board of Directors recommend a payment of dividend to shareholders of amount ISK 99,1 million to be paid in the year 2026.

The Board of Directors have no plans about changes of the operation or the ownership of the Company. The operation is expected to be unchanged.

No changes were in the ownership of the company's capital stock during the year. The capital stock at the year-end amounted to ISK 65 million where as Danfoss International AS, Denmark owns 99%.

The Board of Directors and Managing Director of Danfoss hf. hereby confirm the Financial Statements for the fiscal year 2025 with their signatures.

Reykjavík June 9, 2026

Board of Directors

.....
Andreas Lundqvist
Chairman

.....
Anders Stahlschmidt
Board of Directors

.....
Danny Cohn
Board of Directors

.....
Jón Kjartan Kristinsson
Managing Director

Independent Auditors' Report

To the board of directors and the shareholders of Danfoss hf.

Opinion

We have audited the accompanying financial statements of Danfoss hf. for the year 2025, excluding the endorsement by The Board of Directors and Managing Director.

In our opinion, the financial statements give a true and fair view of the financial position of the company as at December 31, 2025, and of its financial performance and its cash flows for the year then ended in accordance with Icelandic law on annual accounts.

The financial statements comprise

- The endorsement by The Board of Directors and Managing Director.
- The income statement for the year 2025.
- The balance sheet as at December 31, 2025.
- The statement of cash flows for the year 2025.
- The notes to the financial which include material accounting policies and other explanatory information.

The endorsement by The Board of Directors and Managing Director is excluded from the audit, refer to section reporting on other information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

Independence

We are independent of the company in accordance with Icelandic laws on auditors and auditing and the code of ethics that apply to auditors in Iceland and relate to our audit of the company's financial statements. We have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independent Auditors' Report (continued)

Reporting on other information, including the endorsement by The Board of Directors and Managing Director

The board of directors and the chief executive officer are responsible for other information. The other information comprises of endorsement by The Board of Directors and Managing Director, which we obtained prior to the date of this auditor's report.

Our opinion on the financial statements does not cover the endorsement by The Board of Directors and Managing Director.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. In addition, in light of the knowledge and understanding of the entity and its environment obtained in the course of the audit, we are required to report if we have identified material misstatements in other information that we obtained prior to the date of this auditor's report. We have nothing to report in this respect.

With respect to the endorsement by The Board of Directors and Managing Director we have, in accordance with article 104, of the Icelandic law on annual accounts reviewed that to the best of our knowledge, the endorsement by The Board of Directors and Managing Director accompanying the financial statements includes applicable information in accordance with Icelandic law on annual accounts if not presented elsewhere in the financial statements.

Responsibilities of the board of directors and the chief executive officer

The board of directors and the chief executive officer are responsible for the preparation and fair presentation of the financial statements in accordance with Icelandic law on annual accounts, and for such internal control as determined necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so. Management must provide appropriate explanations regarding its ability to continue as going concern, if applicable, and why management applies the presumption of going concern in the preparation and presentation of the financial statements.

Those charged with governance are responsible for overseeing the company's financial reporting process.

Independent Auditors' Report (continued)

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Reykjavík June 9, 2026

PricewaterhouseCoopers ehf.

Sara Henný H. Arnbjörnsdóttir
certified public accountant

Income Statment 2025

		2025	2024
	Notes	ISK	ISK
Operating revenues			
Sales	2	1.837.041.528	2.051.789.907
Other (non operating) income		500.000	3.651.628
		1.837.541.528	2.055.441.535
Operating expenses			
Cost of goods sold		1.365.836.683	1.580.863.511
Salaries and salary-related expenses	3	180.809.067	162.185.578
Other expenses		172.931.781	194.626.383
		1.719.577.531	1.937.675.472
Net operating profit before depreciation		117.963.997	117.766.063
Depreciation and amortization	4	(1.081.820)	(65.279)
Operating Profit		116.882.177	117.700.784
Financial income (expenses)			
Interest income		4.743.424	6.914.700
Interest expenses		(11.854)	(21.861)
Exchange rate (loss)/gain		(9.945.702)	(865.161)
		(5.214.132)	6.027.678
Profit before tax		111.668.045	123.728.462
Calculated income tax	6	(22.892.509)	(26.564.303)
Profit for the year		88.775.536	97.164.159

Balance Sheet
December 31, 2025

	Notes	2025 ISK	2024 ISK
Assets			
Non-current assets			
Operating assets	4	25.813.611	228.476
Total non-current assets		25.813.611	228.476
Current assets			
Inventories	2	121.518.547	67.684.338
Accounts receivable	2	207.033.900	237.889.344
Intercompany account	10	-	109.751.319
Other receivables		3.500.880	10.964.616
Cash and cash equivalents	5	151.613.748	124.124.078
Total current assets		483.667.075	550.413.695
Total assets		509.480.686	550.642.171
Equity and liabilities			
Equity			
Issued capital		65.000.000	65.000.000
Statutory reserve		16.250.000	16.250.000
Retained earnings		121.219.032	131.548.496
Total equity	7	202.469.032	212.798.496
Liabilities			
Non-current liabilities			
Deferred income tax liabilities	6	1.657.047	1.551.083
Total non current liabilities		1.657.047	1.551.083
Current liabilities			
Accounts payable	2	5.982.484	13.494.040
Intercompany account	10	161.033.401	181.573.410
Taxes for the year	6	22.786.545	26.189.324
Other current liabilities	8	115.552.177	115.035.818
Total current liabilities		305.354.607	336.292.592
Total liabilities		307.011.654	337.843.675
Total equity and liabilities		509.480.686	550.642.171

Statement of Cash Flows 2025

		2025	2024
	Notes		
Cash flow from operating activities :			
Profit of the year		88.775.536	97.164.159
Items not affecting working capital			
Depreciation	4	1.081.820	65.279
Changes in deferred income tax liability		105.964	374.979
		89.963.320	97.604.417
Working capital provided by operating activities			
Changes in operating assets and liabilities:			
Inventories, (increase) / decrease		(53.834.208)	22.194.992
Receivables, (increase) / decrease		148.070.499	(37.312.822)
Current liabilities, (decrease) / increase		(30.937.985)	36.775.697
		63.298.306	21.657.866
Changes in operating assets and liabilities			
		153.261.626	119.262.283
Net cash from operating activities			
Investment activities			
Purchases of operating assets	4	(26.666.956)	(293.754)
		(26.666.956)	(293.754)
Financing activities			
Dividends paid	7	(99.105.000)	(59.866.000)
		(99.105.000)	(59.866.000)
Financing activities			
		27.489.670	59.102.529
Increase in cash			
Cash at the beginning of the year		124.124.078	65.021.550
Cash at the end of the year		151.613.748	124.124.078
Interest received		4.743.424	6.914.700
Interest paid		(11.854)	(21.861)
Taxed paid		24.885.423	15.347.867

Notes to the Financial Statements

1 Corporate information

Danfoss hf. is a limited liability company incorporated and domiciled in Reykjavik, Iceland. The principal activities of the company is within research, development and production, sales and service of mechanical and electronic components for several industries. The company's ID number is 471194-3019. The company's address is at Höfðabakki 9b, 110 Reykjavik, Iceland.

The company is a part of a group and the parent company is Danfoss International AS, registered in Denmark at DK-6430 Nordborg.

2 Summary of significant accounting policies

Basis of preparation

The financial statements for the fiscal year 2025 have been prepared on historical cost basis. The financial statements are prepared in Icelandic krona, ISK. The financial statements are prepared on the going concern basis.

Statement of compliance

These financial statements are prepared in accordance with the Icelandic law on annual accounts.

Judgements

The preparation of the company's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

Foreign currency translation

Foreign currency transactions

The financial statements are presented in Icelandic krona, which is the firm's functional and presentation currency. Transactions in foreign currencies are initially recorded at the exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the exchange rate ruling at the balance sheet date. Gains and losses resulting from the translation of foreign currency transactions are taken to the income statement. Non-monetary items that are measured at historic cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Fixed tangible assets

Equipment is stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of such equipment when that cost is incurred if the recognition criteria are met. Depreciation is calculated on a straight-line basis over the useful life of the assets.

An item of fixed assets is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement in the year the asset is derecognised.

The asset's residual values, useful lives and methods are reviewed, and adjusted if appropriate, at each financial year end.

2 Summary of significant accounting policies (continued)

Accounts receivables

Accounts receivables are recognised and carried at the original invoice amount less an allowance for any uncollectible amounts. Provision is made when there is objective evidence that the Company will not be able to collect the debts. Bad debts are written off when identified. Provision at year end is ISK 0.

Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined based on the moving average cost principle. The inventory comprises all costs of purchase, costs of conversion and other costs incurred in bringing the stocks to their present conditions and location. Net realizable value is the estimated selling price in the ordinary course of business less costs of completion and selling expenses. Charges for write off during the year amounted to ISK 1.195.582 and the total provision for obsolescence inventories at the year end amounted to ISK 15.445.012.-

Cash and cash equivalents

Cash deposits in the balance sheet comprise cash at banks.

Accounts payables and other payables

Accounts payables and other payables are recognised initially at the transaction price or fair value. These financial liabilities are normally non-interest bearing. Trade payables are normally settled within 2 months, and other payables within 12 months.

Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue from sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer. Revenue from services is recognised according to stage of completion.

Interest income is recognised as interest accrues.

Equity

Ordinary shares are classified as equity. Nominal value per share is ISK 1.

The cost of issuing new shares, other than in connection with a merger, is deducted from the proceeds from equity, net of tax. Cost of issuing shares in connection with a merger is included to increase the purchase price.

Dividend

Dividend distribution to the Company's shareholders is recognized as a liability in the Company's financial statements in the period in which the dividends are approved by the Company's shareholders.

Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Notes to the Financial Statements

2 Summary of significant accounting policies (continued)

Current and deferred income tax (continued)

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

3 Payroll and other related expenses

	2025	2024
Salaries	138.263.901	130.213.200
Payroll expenses, pension contributions	18.524.596	17.325.298
Accrued vacation	838.555	64.878
Other employee expenses	23.182.015	14.582.202
Payroll and other related expenses total	180.809.067	162.185.578

Total number of full time equivalent employees	9	10
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4 Operating assets

Operating assets accounts consist of the following:

	Machinery and equipment	Total
At the beginning of the year	-	-
Acquired during the year	293.754	293.754
Depreciation charge for the year	(65.279)	(65.279)
	228.475	228.475
Cost at end of year	293.754	293.754
Accumulated depreciation at end of year	(65.279)	(65.279)
Net carrying amount 31.12.2024	228.475	228.475

	Office fixtures	Machinery and equipment	Total
At the beginning of the year	-	228.475	228.475
Acquired during the year	21.934.781	4.732.175	26.666.956
Depreciation charge for the year	(548.369)	(533.451)	(1.081.820)
	21.386.412	4.427.199	25.813.611
Cost at end of year	21.934.781	5.025.929	26.960.710
Accumulated depreciation at end of year	(548.369)	(598.730)	(1.147.099)
Net carrying amount 31.12.2025	21.386.412	4.427.199	25.813.611

Notes to the Financial Statements

4 Operating assets (continued)

Depreciation rates 10% 33%

5 Other financial assets

Cash and cash equivalents:

The Company's cash and cash equivalent consist of bank balances.

	31.12.2025	31.12.2024
Bank balances	151.613.748	124.124.078
Net book value as at 31.12	151.613.748	124.124.078

6 Deferred income tax liability

Deferred income tax liability amounted to ISK ISK1.657.047 according to Balance Sheet as of 31 December 2025 and relates to the following:

	2025	2024
Deferred income tax liability as of 1.1.	(1.551.083)	(1.176.104)
Income tax for the year	(22.892.509)	(26.564.303)
Income tax payable for the year	22.786.545	26.189.324
Deferred income tax liability as of 31.12	<u>(1.657.047)</u>	<u>(1.551.083)</u>

Deferred income tax at 31.12 relates to the following:

Fixed tangible assets	(837.083)	89.079
Inventories and accounts receivables	(3.285.525)	(3.208.387)
Provisions	1.081.790	1.525.868
Deferred exchange rate difference	1.383.771	42.358
Deferred income tax liability as at 31.12	<u>(1.657.047)</u>	<u>(1.551.083)</u>

Deferred income tax liability generally reflects the income tax under the current tax which would be payable if the assets were sold or redeemed at book value.

Notes to the Financial Statements

7 Equity

Equity accounts consists of the following:

	Share capital	Statutory reserve	Retained earnings	Total equity
Equity 1.1.2024	65.000.000	16.250.000	94.250.337	175.500.337
Dividends paid	-	-	(59.866.000)	(59.866.000)
Net profit for the year	-	-	97.164.159	97.164.159
Equity 31.12.2024	65.000.000	16.250.000	131.548.496	212.798.496
Equity 01.01.2025	65.000.000	16.250.000	131.548.496	212.798.496
Dividends paid	-	-	(99.105.000)	(99.105.000)
Net profit for the year	-	-	88.775.536	88.775.536
Equity 31.12.2025	65.000.000	16.250.000	121.219.032	202.469.032

8 Other current liabilities

	31.12.2025	31.12.2024
Salaries and related expenses payable	17.902.008	16.832.036
Accrued bonus payable	18.187.270	9.000.000
General accruals	79.462.899	89.203.782
	115.552.177	115.035.818

9 Commitments and contingencies

Operating lease commitments - Company as a lessee

The Company has entered into a lease agreement on a real estate, Höfðabakki 9b, Reykjavík but the lease agreement can be terminated with at least one year notice. If the agreement is not terminated with at least one year notice it cannot be terminated for the next three years. Current three year period expires at 31. March 2030. Lease payments amount to ISK 2,7 million per month at year end and lease payments are indexed with the Consumer Price Index. The Company has also entered into operations lease contracts on two cars and the total lease obligation is valid until 1 January 2027. Lease payments amount to ISK 424,1 thousand per month at year end and lease payments are indexed with the Consumer Price Index. Total lease payments for the year 2025 amounted to ISK 43,4 million and is recognised with other expenses in the income statement. According to Act on annual accounts and accounting rule number 6, set by the accounting board, companies can choose to either account operating lease in accordance with IFRS16 or to recognize lease payment through profit and loss. The company has chosen the later. Therefore the company does not account for the right of use assets and lease liability.

Lease commitments at the end of the year are broken down as follows in the coming years without the effect of future inflation:

Notes to the Financial Statements

9 Commitments and contingencies (continued)

Operating lease commitments - Company as a lessee (continued)

	2025
Lease payments 2026	37.605.876
Lease payments 2027	32.516.092
Lease payments 2028	32.516.092
Lease payments 2029	32.516.092
For the long term	8.129.023
	143.283.175

10 Related party disclosures

Related parties are those parties which have considerable influence over the Company, directly or indirectly, including parent company, key employees and their families and parties that are controlled or dependent on the Company.

The following table provides the total amount of transactions that have been entered into with related parties:

	2025	2024
Purchases bought from (goods and services) from related parties	1.492.743.871	1.646.688.329
Amounts owed to related parties	161.033.401	181.573.410
Accounts receivables against related parties	-	109.751.319